

02 Original Credit Agreement

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Prepared by Scenario Lender D01 and fictional borrower
For Scenario parties

SYNTHETIC DEMO. The borrower Duolingo Learning Services LLC and Scenario Lender D01 are invented. No affiliation, subsidiary relationship, guarantee or actual financing by Duolingo Inc is asserted. All loan terms, financial figures, people roles, reports and events in documents 02 to 09 are fictional. Document 01 supplies real business background only.

Parties and agreement status

This simplified credit agreement defines the complete terms used for facility DUO-DEMO-01. It is deemed approved by the fictional parties solely within the simulation, effective October 1, 2026. Borrower: Duolingo Learning Services LLC, an invented stand-alone subscription learning business. Lender: Scenario Lender D01. Duolingo Inc is not a party, guarantor, sponsor or source of repayment. No real signature or legal commitment is created.

C00 Facility and payments

The Lender advances \$60,000,000 on October 1, 2026. The Borrower applies \$40,000,000 to refinance a fictional prior loan and retains \$20,000,000 as operating liquidity. There are no commitment, arrangement or exit fees in this simplified scenario. Interest is fixed at 9.00% per year, calculated using twelve equal monthly periods. Each full month's interest is \$450,000 on the initial principal. Interest is payable on the last Business Day of each month. Principal is due October 1, 2029; there is no scheduled amortization before maturity. Voluntary principal prepayment is permitted without penalty, with interest through the payment date and two Business Days' written notice. Reborrowing is not permitted. This is an unsecured facility with no guarantee.

Definitions and measurement perimeter

Loan Party means only the fictional Borrower. USD is the reporting currency. Indebtedness means principal owed for borrowed money and drawn credit facilities. It excludes ordinary trade payables, deferred subscription revenue and undrawn commitments. No additional borrowed money is outstanding at closing after the refinancing.

Unrestricted Cash means cleared USD bank deposits legally owned by the Loan Party and freely available for its operating obligations at the measurement time. Exclude pledged or restricted deposits, processor settlement receivables, unremitted customer billings, cash in transit and funds of any other entity. The \$4,000,000 collateral deposit supporting a fictional processor reserve is excluded even though it is an asset. Restricted cash is not available for debt netting.

EBITDA means recognized revenue less operating expenses before interest, taxes, depreciation and amortization, for the twelve months ended on a quarter-end date. No marketing, product-development or AI-service cost is added back. No forecast earnings, projected savings or unapproved adjustments are permitted. Net Leverage means the greater of zero and Indebtedness less Unrestricted Cash, divided by that EBITDA. EBITDA at or below zero constitutes failure of C02 rather than a negative multiple. Calculate with unrounded inputs; display amounts in USD millions to four decimals and ratios to two decimals only after testing.

An annual paid account is one billed account with a twelve-month paid entitlement. A family plan, if introduced, would be one billed account, not each family member. This scenario uses only individual annual plans priced at \$180; it has no family plans, monthly plans, refunds or foreign exchange. An eligible trial cohort is the distinct set whose first trial ends in the reporting calendar month. Trial conversion is accounts in that cohort making their first successful annual purchase within seven calendar days after trial end, divided

by the eligible cohort. Finalize the cohort only after all seven-day windows close. Renewals are measured among annual accounts scheduled to expire in the month, using successful payment within seven calendar days after expiry. A zero denominator is unassessed, not a zero rate.

For the scenario, an account that does not pay by expiry leaves the month-end paid count; any payment within the subsequent seven-day window is attributed back to that renewal cohort and reconciled in the final report. The supplied reports have no such subsequent reinstatements. Monthly active users are unique active learners during the calendar month and include paid and free users. They are not a measure of conversion or cash receipts. Recognized subscription revenue follows service delivery. Gross billings and cleared receipts must be shown separately from revenue.

C01 Minimum cash

Unrestricted Cash must be at least \$25,000,000 at every calendar month-end beginning October 31, 2026. Test the actual month-end balance, not a forecast or a balance from another day. The Borrower must supply the bank-to-Unrestricted-Cash reconciliation with the monthly report. Equality with the floor is compliant.

C02 Maximum leverage

Net Leverage must not exceed 2.50 times at each March 31, June 30, September 30 and December 31, beginning December 31, 2026. The certificate must contain actual trailing-twelve-month revenue and expense schedules, debt and eligible cash. Neither a single-month EBITDA nor its annualized value substitutes for the twelve-month denominator. The closing illustrative ratio is not a quarter-end certificate.

C03 Reporting

Deliver monthly management accounts, paid-account roll-forward, trial and renewal cohorts, gross billings and processor settlements, hosting costs, and the C01 cash reconciliation within 20 calendar days after month-end. Include the C02 certificate for quarter-end months. The monthly accounts show revenue and billings separately and identify one-time expenditure. If the delivery date falls on a non-Business Day, delivery is due at 5 pm New York time on the next Business Day. The underlying financial measurement date never rolls. A missing report is not evidence that its figures meet the covenants.

C04 Conversion and renewal notice

If finalized trial conversion is below 6.00% or annual renewal is below 88.00% in any calendar month, notify the Lender within three Business Days after the finance officer first knows the finalized result. Include cohort denominators, collection evidence, explanations and known mitigants. These thresholds activate reporting; they are not minimum operating-performance covenants. A timely notice satisfies this duty even if conversion remains weak. A public industry article alone does not establish the Borrower's result.

C05 Forecast reporting

If a dated management forecast shows any weekly Unrestricted Cash balance below \$32,000,000 within the next thirteen weeks, deliver a thirteen-week cash forecast and action plan within five Business Days after the finance officer receives that forecast. Beginning with the first Friday after the initial delivery, deliver a refreshed forecast every Friday at 5 pm New York time until the exit condition below is met, rolling Friday delivery to the next Business Day if needed. Weekly reporting ends after two successive delivered forecasts, dated at least seven calendar days apart, show every week at or above \$32,000,000. This is a reporting trigger and does not replace the \$25,000,000 actual cash covenant.

C06 Discretionary expansion and distributions

While C05 weekly reporting remains active, no new discretionary expansion commitment above \$2,000,000, in one transaction or related transactions, may be entered without written lender consent. Ordinary payroll, hosting and already-contracted operating payments are excluded. All shareholder distributions are prohibited while any covenant failure is uncured or C05 reporting remains active. A forecast of planned spending does not itself establish that a prohibited commitment was entered.

C07 Additional borrowing and security

No new borrowed-money debt or lien securing borrowed money may be incurred without prior written lender consent. Ordinary trade credit payable within 60 days is permitted. The processor reserve identified at closing is permitted but remains excluded from Unrestricted Cash. There is no contractual right to net the Borrower's cash against another entity's obligations.

C08 Accuracy and knowledge

Reports must identify their measurement date, availability date, responsible scenario role and definitions. Correct a known material reporting error within two Business Days after discovery, preserving the original report and correction. Notify the Lender of a known C01 or C02 failure within two Business Days after the finance officer learns of it. A correction or later improvement does not erase the historical test result.

C09 Events of default and cure

An unpaid principal or interest amount becomes an Event of Default only after five Business Days have elapsed following its due date without payment. A C01 or C02 failure becomes an Event of Default only when the Lender has delivered written notice specifying it and ten Business Days have then elapsed without cure or written waiver. Failure of C03 to C08 requires written lender notice and five Business Days without cure. Insolvency of the fictional Borrower is an immediate Event of Default. On a continuing Event of Default the Lender may accelerate by written notice. A risk flag, falling forecast or reporting trigger is not by itself an Event of Default.

C10 Changes and waivers

Only a written instrument expressly approved by both fictional parties can amend this agreement. It must identify the affected clauses, approval date, effective date and any waiver. Changes apply prospectively unless a specific historical waiver is stated. An AI candidate, analyst recommendation or unsigned draft never changes operative terms. No amendments or waivers exist in the starting set.

C11 Calendar notices and interpretation

Business Day means Monday through Friday excluding these expressly listed scenario holidays through May 2027: November 26, 2026; December 25, 2026; January 1, January 18, February 15 and May 31, 2027. For later dates use the parties' written agreed calendar before testing a deadline. A period of Business Days starts on the day after the triggering date. Notices are received when recorded as delivered in the fictional lender portal; sending without a delivery record is insufficient. Amounts and all deadlines use New York time. These definitions govern over a model's remembered conventions. No implied cross-default, material-adverse-change clause or other unlisted obligation is part of this scenario. Any dispute in the simulation is referred to the named analyst for review, without creating a real enforcement process.